# Loan Eligibility Simulator - Problem Statement

## 1. Problem

Clients considering a personal loan may struggle to understand their affordability, how their credit profile may influence a lending assessment, and what steps to take before applying. While some clients may have sufficient disposable income but a less favorable credit profile, others may have a favorable credit profile but insufficient disposable income to manage the requested repayments comfortably.

Clients may also be uncertain about credit enquiry implications, application procedures, required documentation, and where to obtain assistance. Without clear guidance, they may proceed with an application or visit a branch unprepared. Clients who do not meet initial assessment criteria may also lack practical guidance on improving their financial position or understanding their credit profile.

## 2. Proposed Solution

The Loan Eligibility Simulator is a responsive frontend web application developed using JavaScript, HTML, and CSS. It will allow clients to enter their monthly income, expenses, existing debt commitments, requested loan amount, and repayment term to calculate estimated monthly repayments and remaining disposable income.

Using simulated credit-score information and predefined assessment criteria, the application will generate indicative outcomes that explain how affordability and credit-score factors influence the results. Before the assessment begins, a confirmation pop-up will inform clients about the potential implications of a formal credit enquiry and require their acknowledgement before proceeding. The demonstration will not perform an actual credit enquiry.

Clients whose information meets the simulator's criteria will be guided towards the next steps through two pathways: Direct Loans, offering access to the official online application, telephone assistance, and open chat support, or a Capitec branch visit, providing branch locations, directions, and a document checklist tailored to their banking situation.

Clients whose information does not meet the simulator's criteria will receive targeted educational guidance based on the outcome. This may include practical suggestions for improving disposable income, managing existing debt, considering a more affordable loan amount, or maintaining a healthier credit profile. Clients seeking further information about their credit score or credit report will be directed to a credit bureau

## 3. Intended Outcome

The project aims to provide clients with a clearer understanding of their estimated loan affordability, indicative assessment outcomes, and appropriate next steps. By combining financial calculations, simulated credit-score assessment, credit-enquiry information, personalized guidance, and application preparation resources in one accessible interface, the simulator will help clients make more informed decisions and prepare more effectively for the formal loan application process.

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